

SENATE BILL 2058

By Taylor

AN ACT to amend Tennessee Code Annotated, Title 4,
Chapter 7 and Title 8, relative to retirement
benefits for state public safety officers.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 8, Chapter 36, Part 2, is amended by
adding the following as new sections:

8-36-214. This section and §§ 8-36-215 – 8-36-216 are known and may be cited as the
"Supporting Troopers though Advanced Retirement (STAR) Act."

8-36-215. As used in this section and § 8-36-216:

(1) "Average final compensation" or "AFC" means the average earnable
compensation of a state trooper during the five (5) consecutive years of the state
trooper's creditable service affording the highest such average, or during all of the years
in the state trooper's creditable service if less than five (5) years;

(2) "Contributing member" means a state trooper who makes the required
contribution of five percent (5%) of the state trooper's monthly earnings to the STAR plan
for retirement purposes;

(3) "Deferred retirement option program," "DROP," or "program" means a
program in which state troopers with at least twenty-five (25) years of creditable service
in the retirement system defer retirement benefits to continue working full-time while their
retirement compensation goes into a DROP account until their employment ends and
retirement begins;

(4) "Electing officer" means a state trooper who, on or after July 1, 2026, is a
contributing member of the retirement system and makes an irrevocable election to

participate in the STAR plan in lieu of another retirement system, plan, or program established under this chapter or chapter 34 or 35 of this title;

(5) "Hybrid plan" means the hybrid retirement plan for state employees and teachers established under part 9 of this chapter and effective on and after July 1, 2014;

(6) "Legacy plan" means the legacy pension plan that is established in this chapter, excluding the hybrid plan, and chapters 34 through 35 of this title and effective prior to July 1, 2014;

(7) "State trooper" means a commissioned law enforcement member employed by the highway patrol within the department of safety;

(8) "Supporting Troopers through Advanced Retirement plan" or "STAR plan" means the defined benefit retirement plan for eligible state troopers who are electing officers; and

(9) "Vesting" means, in regard to a state trooper, an officer who becomes vested in the retirement system with a defined benefit upon completing a specified amount of service.

8-36-216.

(a) Each state trooper who is a member of the retirement system as of July 1, 2026, shall become an electing officer if the state trooper notifies the board of trustees of the retirement system in writing of such irrevocable election no later than October 1, 2026. A state trooper hired on or after July 1, 2026, automatically becomes a participant in the STAR plan and is entitled to the enhanced benefits of the STAR plan under this section.

(b) A state trooper who is a member of the retirement system on July 1, 2026, and who does not make a valid election pursuant to subsection (a) is not eligible for the enhanced benefits provided for in this section.

(c) Each electing officer is entitled to all the same benefits provided otherwise for similarly situated members of the retirement system, except that:

(1) Each state trooper leaving the legacy plan and electing to join the STAR plan shall contribute five percent (5%) of the state trooper's average base salary over the totality of the state trooper's career within the retirement system. This buy-in constitutes a one-time assessment for entry into the STAR plan and must be paid by the electing officer within one (1) year of STAR plan entry. If this initial assessment is not paid within the allotted time, then the electing officer must be removed from the STAR plan and revert to the legacy plan for retirement purposes;

(2) Each state trooper leaving the hybrid plan and electing to participate in the STAR plan is not required to contribute a buy-in or other fee;

(3) Each electing officer shall contribute five percent (5%) of the electing officer's monthly earnable compensation beginning July 1, 2026, to the retirement system;

(4) Each electing officer hired prior to July 1, 2026, becomes vested upon five (5) years of state service under the retirement system and entitled to the enhanced retirement benefits provided in this section; and

(5) Each state trooper hired on or after July 1, 2026, becomes vested upon ten (10) years of state service under the retirement system and entitled to receive the enhanced retirement benefit provided in this section.

(d) Each electing officer is eligible for enhanced retirement benefits, to be determined in accordance with the following schedule:

(1) Once vested, an electing officer is to receive a monthly retirement benefit equal to three percent (3%) of the electing officer's average final

compensation for each creditable year of service, for a maximum benefit of creditable service at twenty-five (25) years of seventy-five percent (75%) of the electing officer's AFC;

(2) There is no minimum retirement age for state troopers to use the STAR plan once twenty-five (25) years of service is achieved; and

(3) A reduced survivor benefit is available for an electing officer to a beneficiary or beneficiaries equivalent to two and six-tenths percent (2.6%) per year of the AFC for a maximum benefit of sixty-five percent (65%) of the AFC at twenty-five (25) years.

(e) After an electing officer obtains twenty-five (25) years of creditable service from all service rendered while a member of the retirement system, the electing officer's contributions pursuant to subdivision (c)(3) cease, and the officer's retirement benefit amount must be calculated based upon the officer's AFC at that time.

(f) On and after the time at which the retirement benefit is calculated pursuant to subsection (e), if the electing officer does not elect to retire under the STAR plan, then the electing officer's monthly retirement benefits must be paid into the electing officer's DROP account until the member elects to retire. The monthly payments must accrue any postretirement benefit adjustments granted to other members of the retirement system. The retirement system must retain all interest on the DROP account for each state trooper participating in DROP to help fund the STAR plan. State troopers participating in DROP can elect annually to stay in the program for no more than eight (8) years. Notwithstanding subsection (e), contributions pursuant to subdivision (c)(3) must continue if participation in DROP is elected until retirement.

(g) The board of trustees for the retirement system shall establish a DROP account for each electing officer into which the electing officer's monthly retirement

benefit payments must be deposited. The amounts in each account must earn interest at a market rate to be determined by the board.

(h) Each electing officer, at the time of electing to participate in DROP, shall notify in writing the board of trustees of how long the electing officer will utilize the DROP account. This election must recur annually sixty (60) days prior to the member's anniversary in DROP until the maximum benefit of eight (8) years under subsection (f) is obtained.

(i) The highway patrol shall review the conduct of each DROP participant to ensure this state is receiving satisfactory service for compensation. This review must consist of the current evaluation, disciplinary history during the current year of service, and any other factors of performance deemed necessary. The highway patrol shall create a policy for reviewing employment during DROP participation.

(j) From July 1, 2026, until June 30, 2031, a state trooper may elect to continue employment at the highway patrol without participating in DROP, subject to the following conditions:

(1) The state trooper has at least twenty-one (21) years of creditable service in the retirement system;

(2) The state trooper may earn a new AFC while using the enhanced benefits of the STAR plan for retirement purposes;

(3) The state trooper, at the time of election into the STAR plan, must also elect to participate in DROP or to continue earning an AFC based on how many years the state trooper will be in the STAR plan and DROP; and

(4) The state trooper may elect to use benefits pursuant to this subsection (j) and be eligible to use the DROP benefits at a later date. The

retirement system must be notified in writing of the intent to use both types of benefits at the election timeframe pursuant to subsection (a).

(k) Upon retirement of an electing officer, the electing officer is entitled to receive a lump sum, a partial lump sum, or an annuity payment from the principal funds in the state trooper's DROP account. The board may also make available options to roll such funds into certain tax-advantaged retirement accounts.

(l) All creditable service in the retirement system must be calculated toward the STAR plan for state troopers.

SECTION 2. This act takes effect July 1, 2026, the public welfare requiring it.